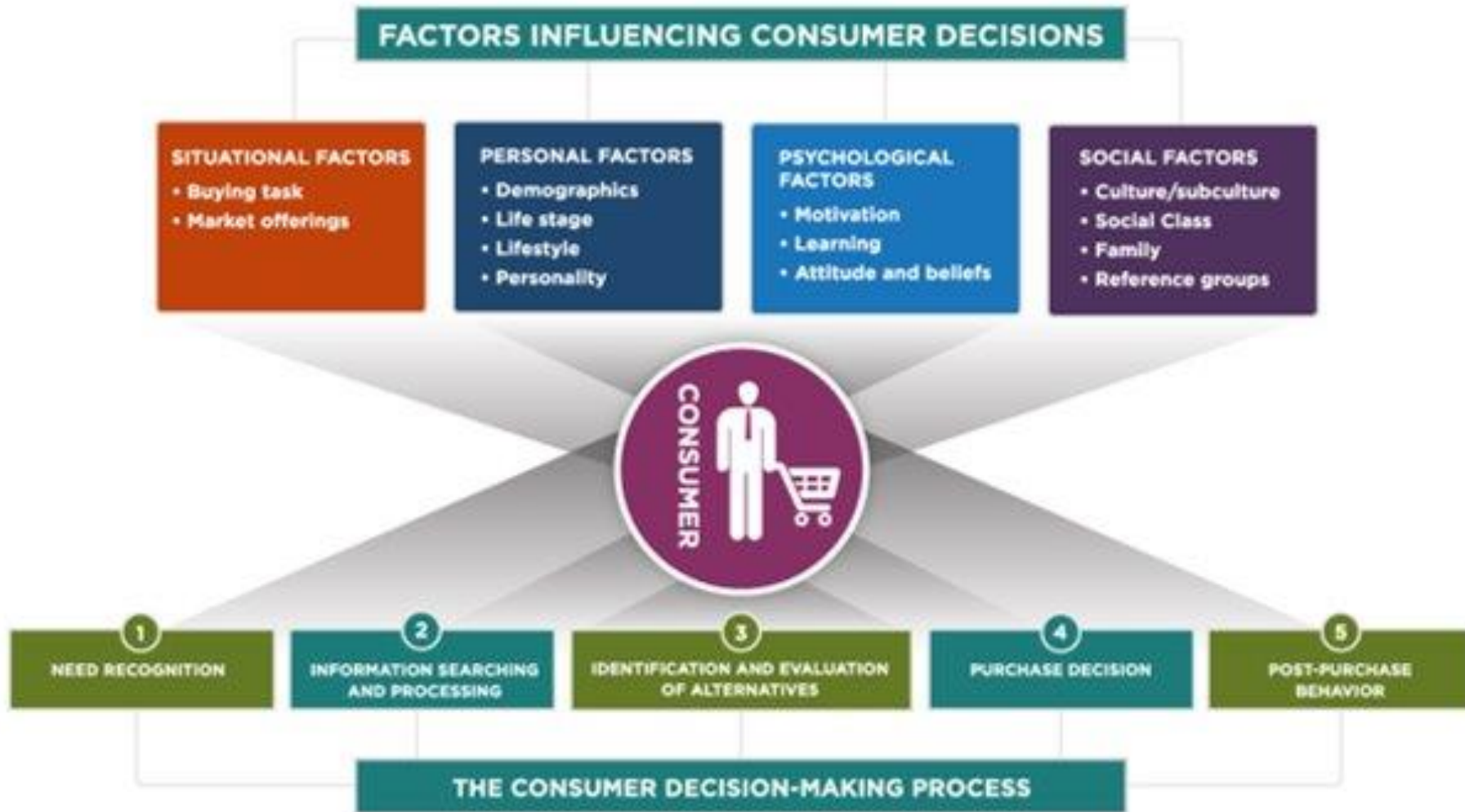


Consumer decision-making model



Assoc. Prof. Dr. Apiradee Wongkitrungrueng

Consumer Decision Making

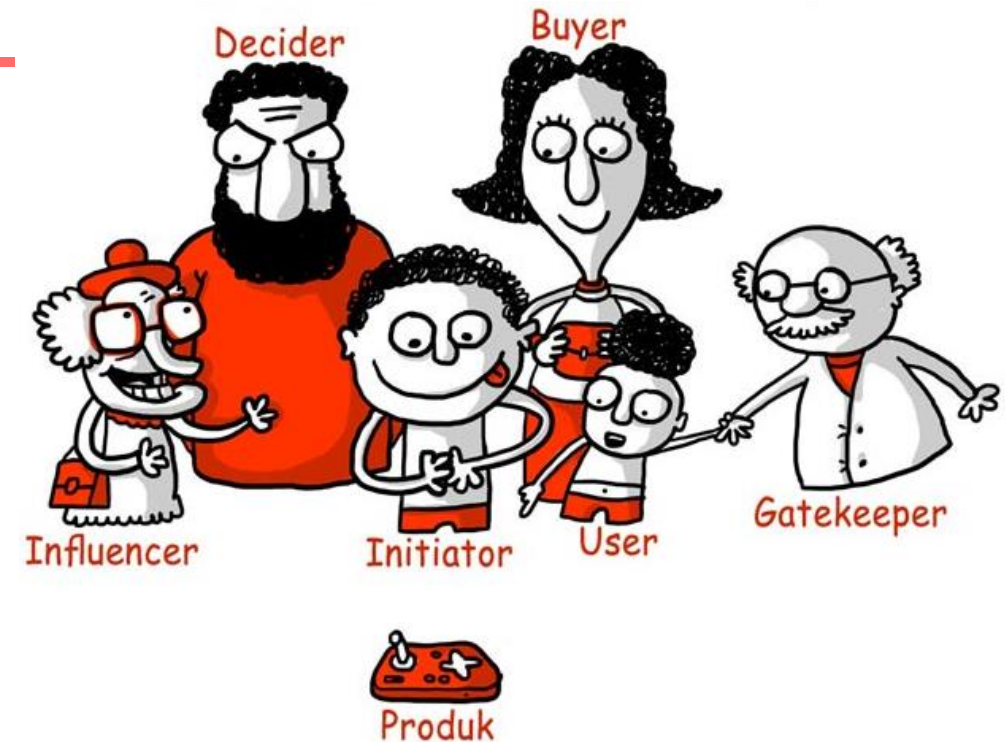
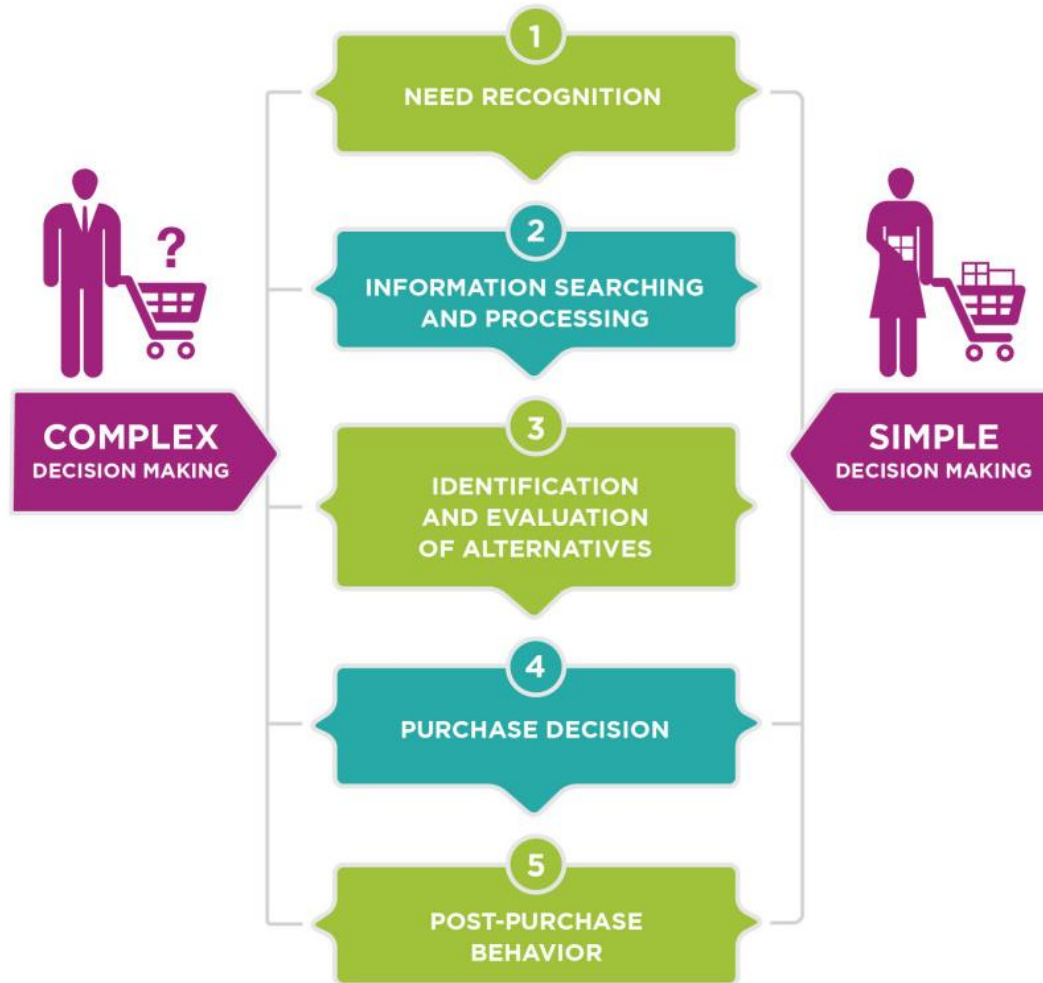


- The process of making choices by identifying a decision, gathering information, and assessing alternative resolutions.
- Product Choice
 - Category (Clothes, Handbag, Travelling, Spa, Food, IT)
 - Brand (Hi-end, Hi-street, Local, No-Name, Counterfeit)
 - Features (Handbag: color, material, shape, design, size)
- Where to buy, which seller (price, service, convenience)
- When to buy (timing)
- How many (volume discount)
- How much (price comparison, negotiation)
- How to pay (cash, credit)
- How to dispose? – return, give away, exchange, resell

Decisions vary with product categories and people involved



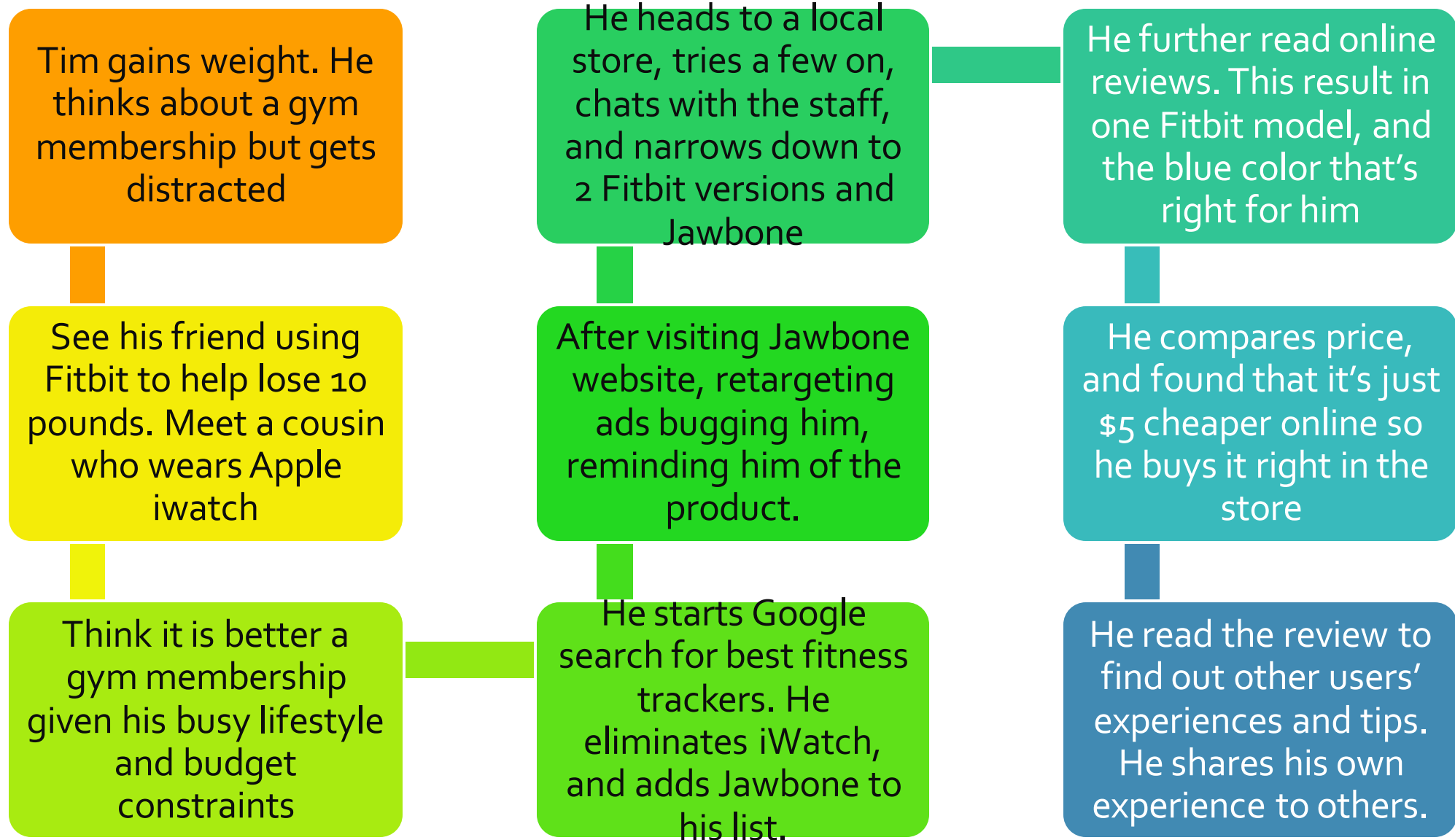
Decisions vary with product categories and people involved



- **The initiator:** the person who identifies that there exists a need or want;
- **The influencer:** the one who influences the purchase decision, the actual purchase activity and/or the use of the product or service
- **The decider:** the one who decides whether to buy, what to buy, when to buy, from where to buy, and how to buy;
- **The buyer:** the one who makes the actual purchase; and,
- **The user:** the person (s) who use the product or service.

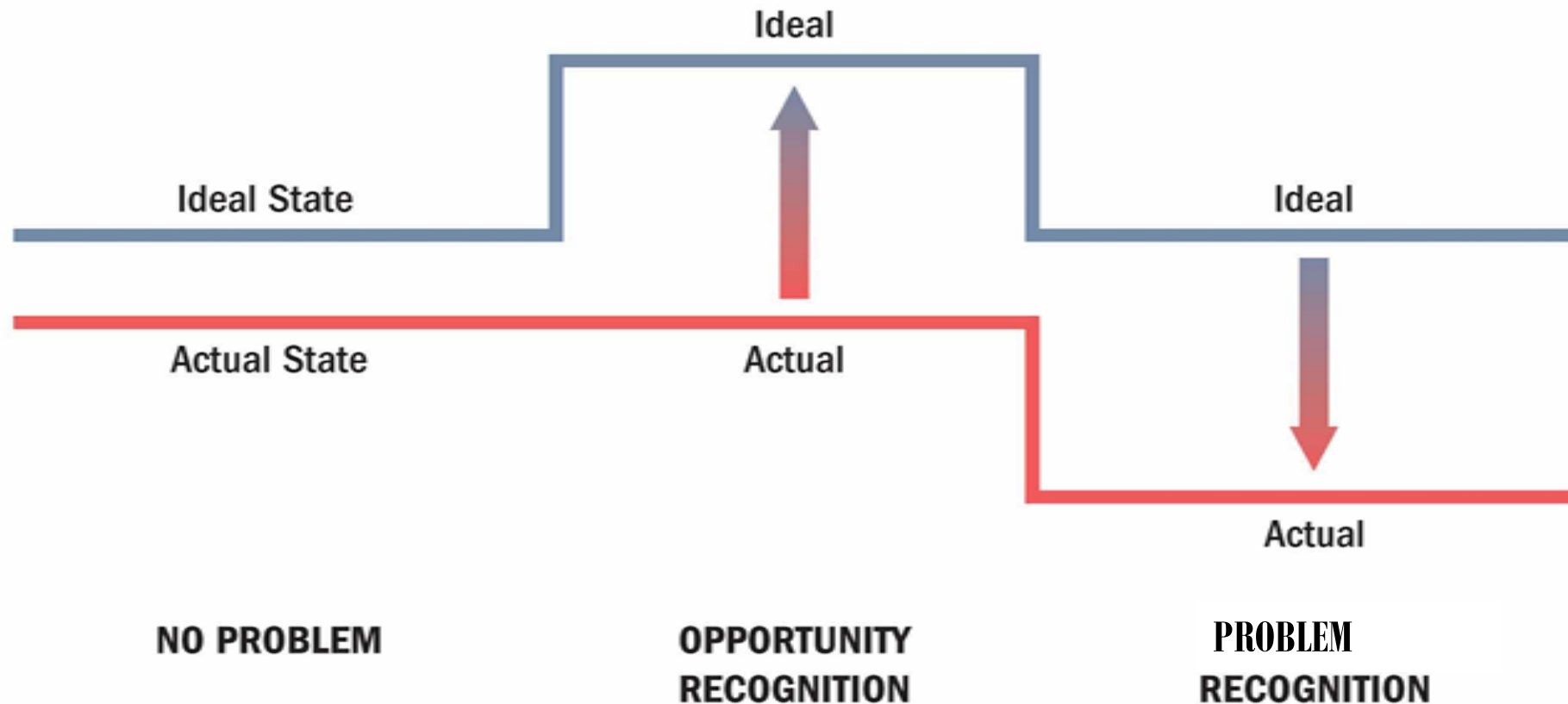
Step	Description	Marketing Task
1. Need/ Problem- Opportunity recognition	Aware of a discrepancy between the actual and a desired situation.	-Find out potential needs/problems. -Help customers identify/ recognize potential problems /needs through ad, promotion , salesperson
2. Information Search	Gathers information about the attainment of a desired state of affairs.	-Make sure customers aware of and knowledgeable about the brand. -Provide info about the product and help choose the right product
3. Evaluation of alternatives	Evaluate the alternatives by developing the criteria	- Find out how people evaluate - Educate about criteria important in evaluation - Convince that the criteria reflect the strength of the brand
4. Final decision/ actual purchase	Narrow down to one choice. Decide where and how to buy	- Ensure that the product is available. -Facilitate the purchase process
5. Post-purchase evaluation	Satisfied/dissatisfied Cognitive dissonance	- Provide after-sale service - Try to reduce the dissonance

Example: Tim's decision making journey



1. Need/Problem Recognition

- Need recognition occurs when a consumer is aware of a discrepancy between the desired and actual state
- A desire to resolve a particular consumption-related problem depends on the degree of discrepancy and the relative importance of the problem.



Trigger: Situations Leading to Need Recognition

Sources of needs

- Problem
 - Insufficient stock
 - Dissatisfaction/Boredom
 - Depletion, wear/tear
 - Financial status change
 - Life stage/future need/preference change
- Opportunity
 - New product available
 - Promotional activities
 - New trend/Variety seeking



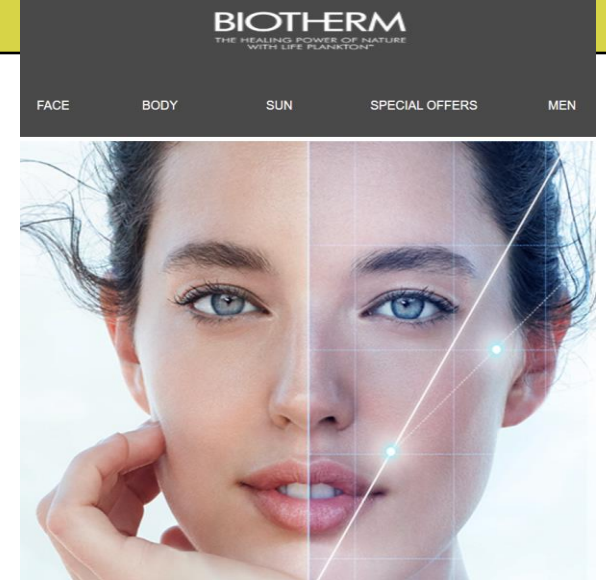
Types of trigger

- Internal stimuli
 - Individual's inner drives and pain points, perceptions and feelings
- External stimuli
 - Marketing stimuli - "Consumers are exposed to 4,000-10,000 ads/day."
 - Social influence (e.g. reference group)



1. Marketing Tasks

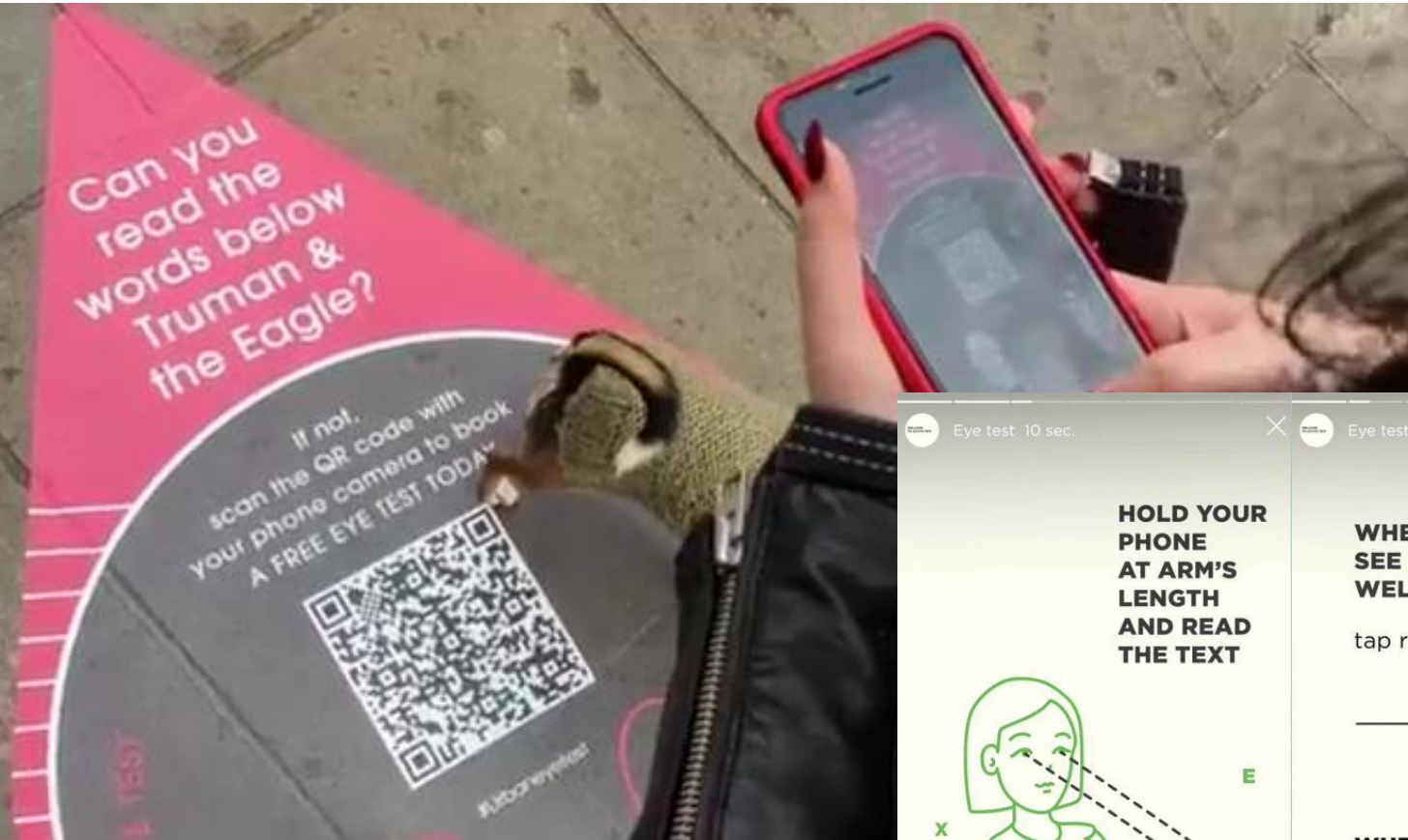
- Discover unsatisfied and unfulfilled needs and adjust marketing mix strategies
- Help consumers identify and recognize the need
 - Make problems salient (**problem existed**)
 - Remind:
 - Advertising/Promotion: It's time for a health checkup, a break, a snack!
 - Distribution channel: vending machine of energy drink located inside the fitness
 - Make people aware of the problem or new need (**problem not exist**)
 - Influence the actual state by emphasizing what's missing, helping customers realizing that their situation is below expectation. Educate about the potential problem
 - Self-Assessment test, test conducted by professional, early detection test: eyesight, body strength, bone depreciation, aging.
 - Real-time feedback: brain sensing headband



DISCOVER YOUR
SKIN'S REAL AGE WITH
SKIN AGE SCAN™
POWERED BY A.I.



An eye test in Instagram stories/via QR code



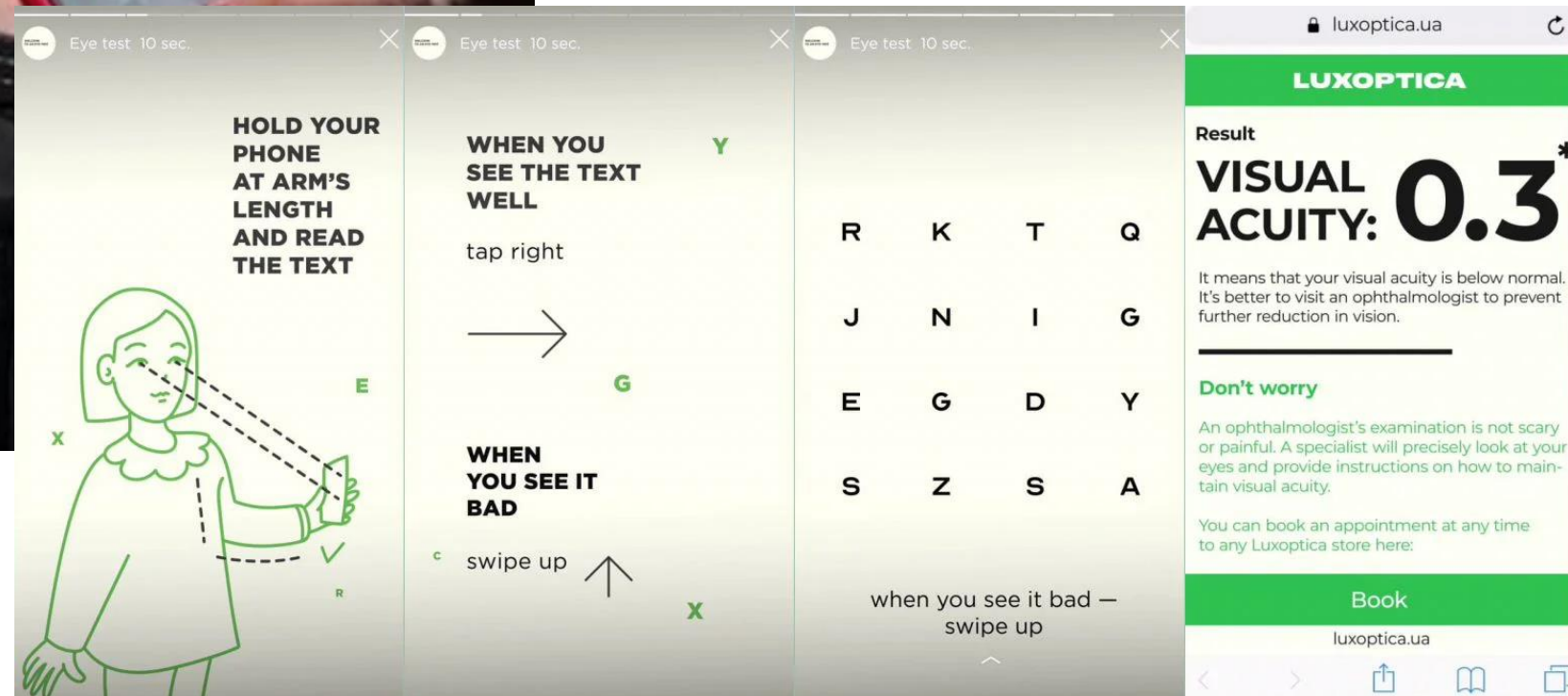
Million adults can't remember the last time they had an eye check up.

The urban eye test, accessed via a QR code located on the floor panels around Brick Lane London asked passer-by questions relating to their surroundings, suggesting to schedule an eye check if questions are answered incorrectly

Because vision deteriorates quite slowly, people often don't realise there's anything wrong.

Global optician stores invent a new way of digital medical examination in instagram stories

Every 7th person detected a vision problem



Luxury ice cubes



Mariko Spheres & G-Cube

\$325 for 50 ice cubes
\$6.50 per ice cube

- Gläce is the world's leading premium drink-ice brand.
 - Our proprietary manufacturing process creates ice that differ from traditional ice
 - Traditional machine-ice, generally made with local tap water, may contain upwards of 150 impurities and carcinogens, resulting in poor tasting and potentially unhealthy ice.
 - provides zero-taste (TM) (tasteless)
 - provides minimum dilution and maximum cooling
 - provides elegant design → luxury beverage
 - protected in a resealable package, ensuring a sanitary chain of custody from origin to enjoyment.
-

Hesitation/Inaction

- Consumer

- Put the decision on hold
 - Perceive the gap between the ideal and actual state is small
 - Resource constraints
 - Limited time, money, energy
 - Limited knowledge
- Wait for
 - A price to drop, an improved version

Marketer

- Point out the critical importance of the problem. Convince customers that they should not postpone purchasing
- Alleviate constraints
 - Financial support e.g. long-term, lower interest payment
 - Save time through online purchase and support, personal shopping
 - Making learning easy through demonstration, after-sale service

2. Information gathering

- Process by which consumer surveys the environment for appropriate data to make reasonable decision, to reduce uncertainty

- **Types of search**

- **Pre-purchase search:** Consumer recognizes a need and searches the marketplace for specific information to make better decisions
- **Ongoing search:** Browsing for fun or staying up-to-date on what's happening in the market to gather info for future use. This increases impulse purchase

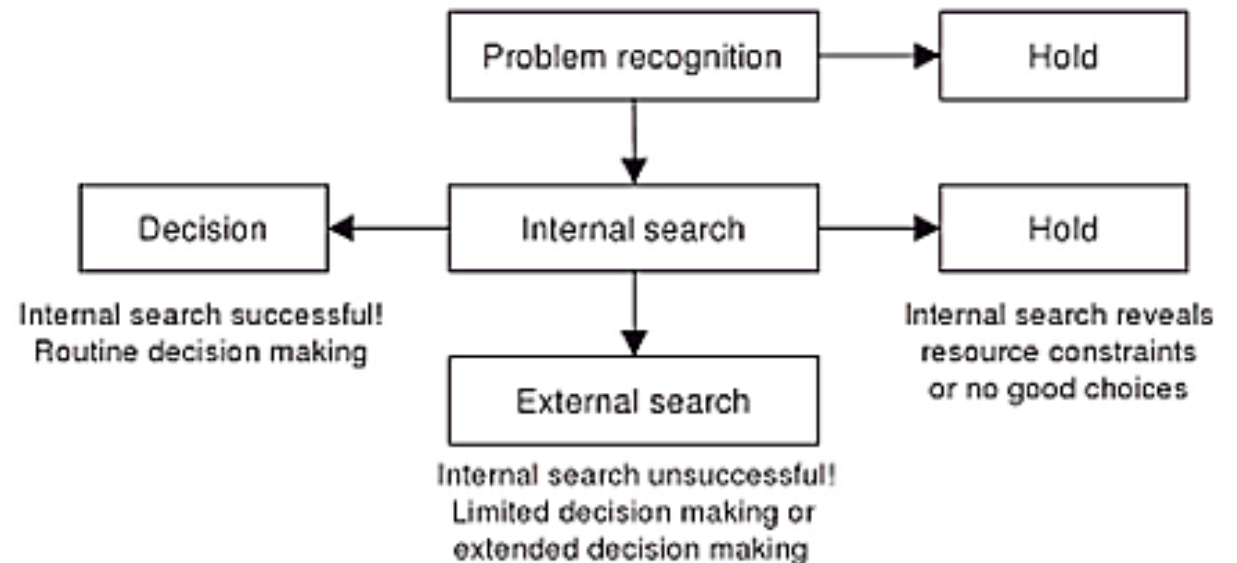
- **Types of information**

- Benefits of products, pros and cons
- How a product functions, difficulty to learn
- Brands' availability, product features, service, price

- **Source of information**

- Internal search - Prior learning, Personal Experiences
- External search
 - Personal: Friends/family
 - Public: Expert, consumer groups, government
 - Commercial (salesperson, advertising, web, packaging, display)

- "81% of shoppers conduct online research before buying."
- Especially for high-complexity decisions, consumers can and will go back and forth between specific stages
- "51% of people visit 4+ sites before making a purchase decision."



Factors influencing search effort

Marketplace characteristics:

- Number of alternatives +
- Store distribution (distance) -
- Information availability +

Situational characteristics:

- Time pressure -
- Physical/mental illness -

Consumer characteristics:

- Prior knowledge and experience -
- Previous dissatisfaction +
- Curiosity, high need for knowledge +
- Education +
- Income -
- Age -

Product characteristics:

- Price +
- Product differences +
- Social visibility (style and appearance) +
- Perceived risk +
- Number of crucial attributes +



Which of the two choices would lead customers to extend consumer information search efforts?

Prior product knowledge/experience	Yes	No
Income level	High	Low
Number of alternatives/brands	Many	Few
Education level	High	Low
Amount to be saved by shopping around	High	Low
Perceived differences in products/brands	High	Low
Amount of time available	High	Low
Ease of getting information	Easy	Hard
Level of risk in purchase	High	Low
Visibility of product to others (social status)	Public	Private

BUYERS MOST SENSITIVE TO RISK

PURCHASES MOST SUBJECT TO RISK

MONETARY RISK

Risk capital consists of money and property. Those with relatively little income and wealth are most vulnerable.

High-ticket items that require substantial expenditures are most subject to this form of risk.

FUNCTIONAL RISK

Risk capital consists of alternative means of performing the function or meeting the need. Practical consumers are most sensitive.

Products or services whose purchase and use requires the buyer's exclusive commitment are most sensitive.

PHYSICAL RISK

Risk capital consists of physical vigor, health, and vitality. Those who are elderly, frail, or in ill health are most vulnerable.

Mechanical or electrical goods (such as vehicles or flammables), drugs and medical treatment, and food and beverages are most sensitive.

SOCIAL RISK

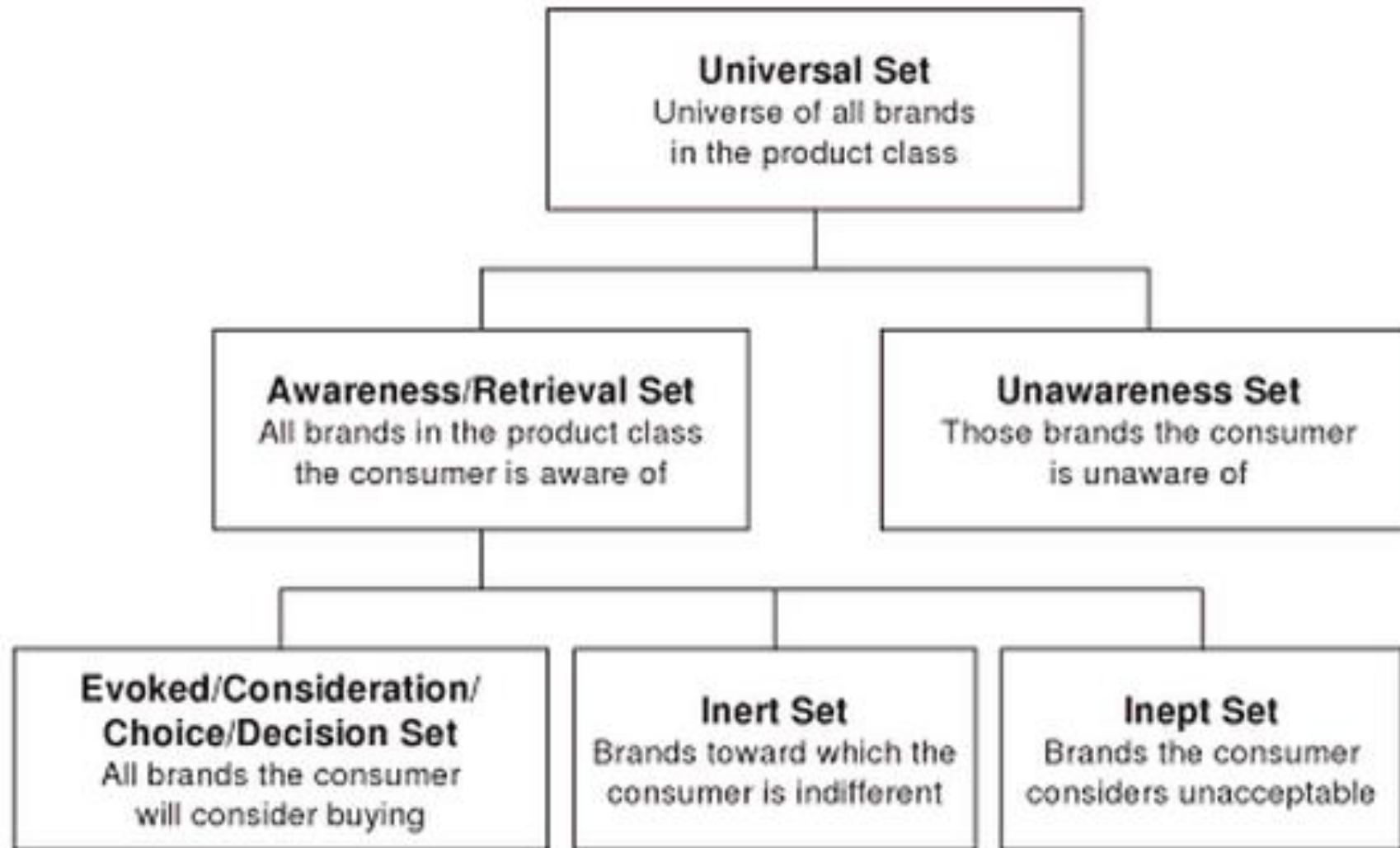
Risk capital consists of self-esteem and self-confidence. Those who are insecure and uncertain are most sensitive.

Socially visible or symbolic goods, such as clothes, jewelry, cars, homes, or sports equipment are most subject to social risk.

PSYCHOLOGICAL RISK

Risk capital consists of affiliations and status. Those lacking self-respect or attractiveness to peers are most sensitive.

Expensive personal luxuries that may engender guilt, durables, and services whose use demands self-discipline or sacrifice are most sensitive.



Reinforce consumers' existing behavior patterns by maintaining product/service quality, distribution channel, persuasive communication, combating competitive, disruptive activities, users' data

Provide shopper with

- Product improvement, persuasive communication
- Free trial, samples, price promotion

- Probably a lost
 - Persuasion and trial won't work as consumers are skeptical/disinterested
- Discover sources of dissatisfaction and negative attitudes
- Take action. Change target customer.

2. Marketing Tasks

- Make sure customers aware of and knowledgeable about the product/brand (in awareness set).
 - Make sure you are coming up when people search for relevant keywords and provide contact address
- Understand consumer questions, challenges and concerns, and provide customers with sufficient, relevant, timely information
- Create attention-grabbing and useful contents about products and guide customers on the consideration set
 - Design messages to be aligned with latest consumer interests
- Help customers overcome information overload
- Identify other brands in consumer's consideration set to plan appropriate competitive appeals

The Paradox of Choice

- Grocery store tasting table
 - Taste tests:
 - 6 jams: 40% of shoppers tasted
 - 24 jams: 60% of shoppers tasted
 - Purchases:
 - 6 jams: 30% purchased
 - 24 jams: 3 % purchased
- People like more choice, but may find it harder to make a purchase decision



According to the economic theory, more choice has a positive effect on a buyer. Psychologically however, there is a choice conflict and choice overload

Help customers overcome
information overload

[HOME](#)[KODAK PRINTERS](#)[HOME OFFICE CENTER](#)[FAIRLY PRICED INK](#)[OVERPAYMENT CALCULATOR](#)

KODAK RECOMMENDS

MEETS YOUR PRICE

HAS THE FEATURES YOU WANT

Kodak ESP-7250

All-in-One Printer



\$199.99

[SHOP NOW](#)

- Print wirelessly, copy, and scan
- Simple wireless setup
- Intuitive control panel
- Auto-engaging photo paper trays
- 2.4 inch LCD and media card slots that support SD, MS, Duo, and CF
- Automatic 2-sided printing
- Print photos directly from Apple® iPhone, iPod Touch, and iPad devices via the free Kodak Pic Flick App*



\$229.99

[SHOP NOW](#)

Kodak ESP-Office 6150

All-in-One Printer

- Print, copy scan, and fax
- Simple wireless setup
- Perfect Page scanning technology
- 200 page high-capacity paper tray
- Automatic 2-sided printing, auto document feeder, and fax in as little as 3 seconds per page
- Shorter job-to-job wait times when printing*
- Print photos directly from Apple® iPhone, iPod Touch, and iPad devices via the free Kodak Pic Flick App*
- Intuitive control panel and 2.4" display

[← START OVER](#)

[BACK TO PRINTERS](#)

1 OF 6

What are you looking for?
Please choose one


Men's styles


Women's styles

2 OF 6

What's your fit?
Please choose one


Narrow
If hats are big or if frames often appear oversized


Medium
A large range of people have medium-width faces. Not sure about yours? Pick this one.


Wide
If hats are snug or if frames sometimes pinch

I'm not sure. Let's skip it.

3 OF 6

Which shapes do you like?
Pick as many as you want


Round


Rectangular


Square

No preference

4 OF 6

Which colors do you like?
Pick as many as you want


Bright


Neutral


Black


Tortoise


Crystal


Two-tone

No preference

5 OF 6

Which materials do you like?
Pick as many as you want


Acetate
Our classic material. (When you think Warby Parker frames, this is probably what you're picturing.)


Metal
Either stainless steel or titanium equipped with adjustable nose pads. Lightweight and durable.


Mixed material
Acetate paired with stainless steel or titanium accents

No preference

6 OF 6

When was your last eye exam?
Please choose one

<1
In the last mo.

1-3
1-3 mos. ago

3-12
3-12 mos. ago

12+
Over a year ago

I'm not sure. Let's skip it.

WARBY PARKER EYEGLASSES SUNGLASSES HOME TRY-ON LOCATIONS

SEARCH | HELP | SIGN IN

CALCULATING YOUR RESULTS...

Our top picks for your Home Try-On

Pick 5 frames

Free trial (shipping both ways is on us)

Try them on at home

You've got 5 days to test 'em out :-)

Find a favorite?

Upload your prescription at checkout and we'll get cracking on your new pair (starting at \$95, including prescription lenses!)

Cool! Show me my results.


Wilkie


Sullivan

Our top picks for your Home Try-On

We've picked these frames based on your style and fit preferences. Pick your 5 favorites and add to your trial box below!

See how Home Try-On works


Wilkie


Seymour


Sullivan

EYEGLASSES / MEN / CHAMBERLAIN



Success! 1 of 5 added

Chamberlain in Whiskey Tortoise is now in your Home Try-On.

Find another frame View cart

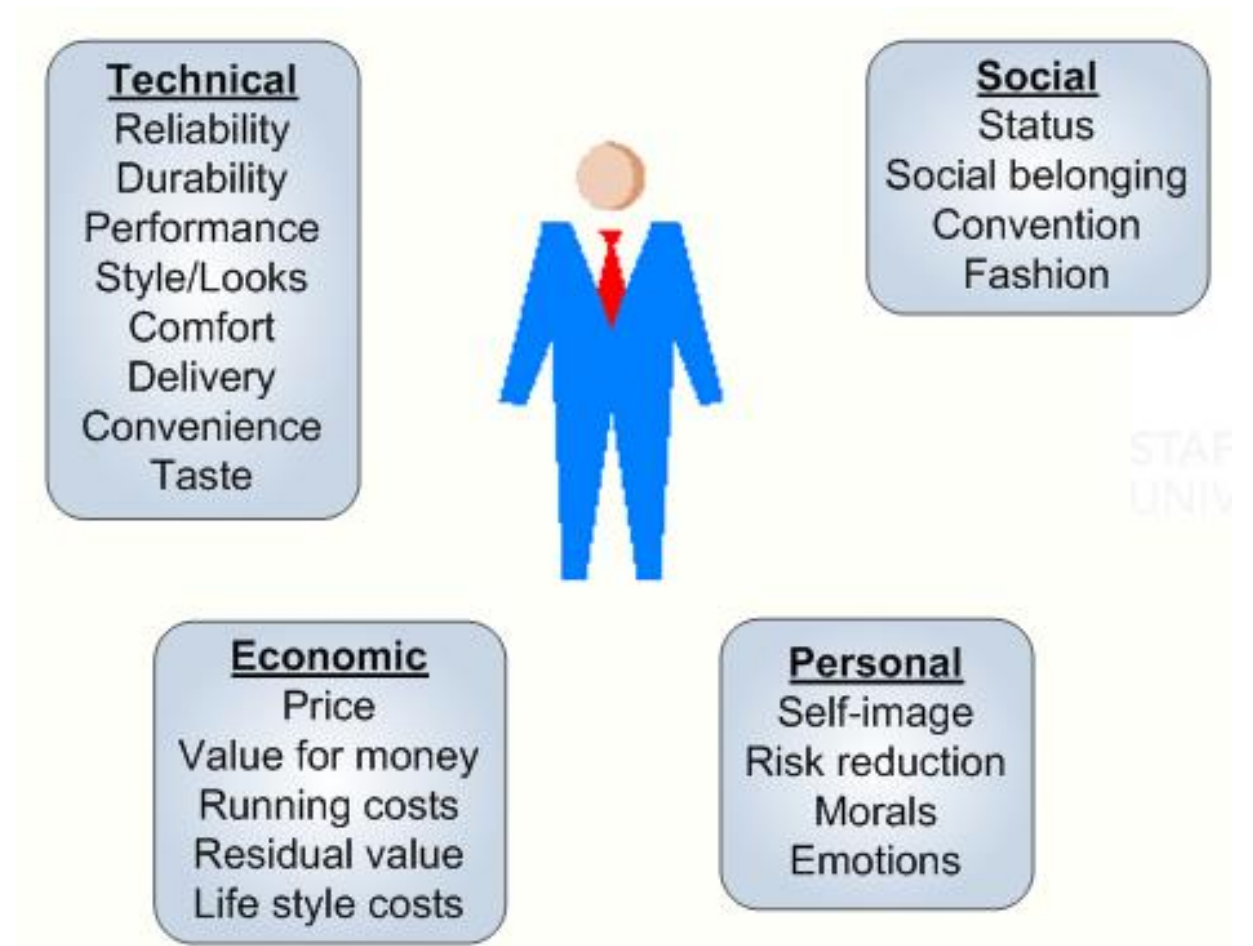
In your Home Try-On

Buy from \$95

3. Evaluation of alternatives

“65% of people comparison shop for +16min before making a purchase.”

- Consumer has a short list of products and is performing active evaluations to narrow down alternatives in the consideration set
 - detailed reviews/feedback
 - comparisons of alternatives both digital and in-store.
- Input required in evaluation
 - Evaluative criteria, the relative importance of each criterion, performance of each alternative on each criterion
 - Product attributes (e.g. capacity, size, space) relevant to one's needs
 - Price/budget
 - Brand image
 - Convenience, ease, user-friendliness



Criteria vary with age, education, income, cultural values

Choice decision

- How do you select a movie?



- How do you select a computer?



Mode of alternative evaluation

- 1. Attribute-based choice
 - Decisions made by comparing brand performance on the evaluative criteria

Evaluative Criteria	Consumer Perceptions*					
	WinBook	HP	Compaq	Dell	IBM	Toshiba
Price	5	3	3	4	2	1
Weight	3	4	5	4	3	4
Processor	5	5	5	2	5	5
Battery life	1	3	1	3	1	5
After-sale support	3	3	4	3	5	3
Display quality	3	3	3	5	3	3

*1 = Very poor; 5 = Very good.

- Brands will vary in appeal
- Most buyers consider several attributes, each with different importance.
- The marketer should know the importance that consumers assigned to each attribute

DECISION RULE	MENTAL STATEMENT
Compensatory rule	"I selected the computer that came out best when I balanced the good ratings against the bad ratings."
Lexicographic rule	"I looked at the feature that was most important to me and chose the computer that ranked highest on that attribute."
Eliminate by aspect	"I selected the computer that had no bad features on key attributes"

- 2. Attitude-based choice
 - Simplified decision rule based on overall impression, attitudes, emotions associated with the brand
 - I like Campbell's soup as it brings back happy childhood memory
- 3. Decision heuristics (Shortcut):
 - A mental rule of thumb focusing on a single criterion to simplify consumer decision makers, speed up the process, and help consumers cope with information overload
 - Buy the least expensive brand
 - Choose the brand rated highest by consumer reports
 - Buy the best-known brand
 - Buy the brand you always used
 - Decision heuristics can lead to nonoptimal choices
 - It is used when
 - buyers have insufficient product category information
 - Lack ability to intelligently select
 - Lack motivation or involvement to make a careful decision

The Head and Heart Decision-Making Continuum



Cognitive, rational
decision making



Experiential, emotional
decision making

Evaluate based on objective
criteria or rational motives

One credit card offers a
low interest rate, but another
has an extended warranty.

Evaluate based on subjective
criteria or emotional impulse

The American Express
card make me feel
successful!

What products are you more likely to purchase using rational or emotional motive?

3. Marketing Tasks

- Find out how consumers evaluate brand alternatives
 - Attribute-based choice (rational motive): supplying criteria that benefit the brand
 - Attitude-based choice (emotional motive): branding is a good strategy
- Identify which evaluative criteria are important to an individual
- Ways to influence the buyer's evaluation
 - Educate consumers about attributes and criteria important in evaluating a product
 - Show why a specific brand fulfills those criteria.
 - Induce a customer to expand the consideration set to include the marketed product
 - In-store/online demonstration/workshop and
 - free trial/samples help consumers evaluate
- Aware of the impact of online conversation/wom/review, manage negative review, show consumers that the business care about customer service and consumer interaction

THE WORLD'S
**MOST
EXPENSIVE
LIQUID**

ISN'T FOUND IN THE
MIDDLE EAST. IT'S FOUND IN
YOUR INKJET PRINTER.

LAST YEAR,
AMERICA PAID
**\$5 BILLION
TOO MUCH**
FOR INKJET PRINTER INK.

Pinpoint an important criterion

SWITCH TO A **KODAK ESP** ALL-IN-ONE PRINTER
AND STOP OVERPAYING FOR INK.

Kodak



FIND OUT HOW MUCH YOU OVERPAY FOR INK AT
PRINTANDPROSPER.COM

YOU OVERPAID

\$115.91^{*}

THE AVERAGE PRINTER LASTS 3 YEARS,
SO THAT'S \$347.73 OVER THE LIFE OF YOUR PRINTER.

	brother MFC 240C	Kodak ESP All-in-One Printer	SAVINGS WITH KODAK PRINTERS
AVG. ANNUAL INK COST:	\$204.21	\$88.30	\$115.91
AVG. WEEKLY INK COST:	\$3.93	\$1.70	\$2.23
AVG. PAGE INK COST:	\$0.13	\$0.06	\$0.07

[SHOP NOW ▶](#)[◀ START OVER](#)

Show that a brand fulfills that criterion

JUST WHAT EXACTLY IS FAIRLY PRICED INK?

OVERVIEW

HIGH-QUALITY

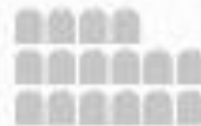
LOW-COST

NO CONFUSION

With Kodak, buying ink is simple.

Unlike other printer companies which give each printer its own line of cartridges, Kodak has only one set that works with all of our printers. So there are no codes to remember and no confusion in the store.

Extra info to convince consumers to consider the brand



BROTHER



CANON



LEXMARK



EPSON



HP



HAS OVER
63
CARTRIDGES

NUMBER OF CARTRIDGES*

Rollover each stack to find out just how confusing it gets.

SHOP FOR CARTRIDGES



MASERATI HOME TEST DRIVE

WE BRING AN EXCLUSIVE TEST DRIVE TO YOUR HOME.

Book a Test Drive, Please Call 02 663 2233
or Your Sales Consultant



TRY BEFORE
YOU BUY

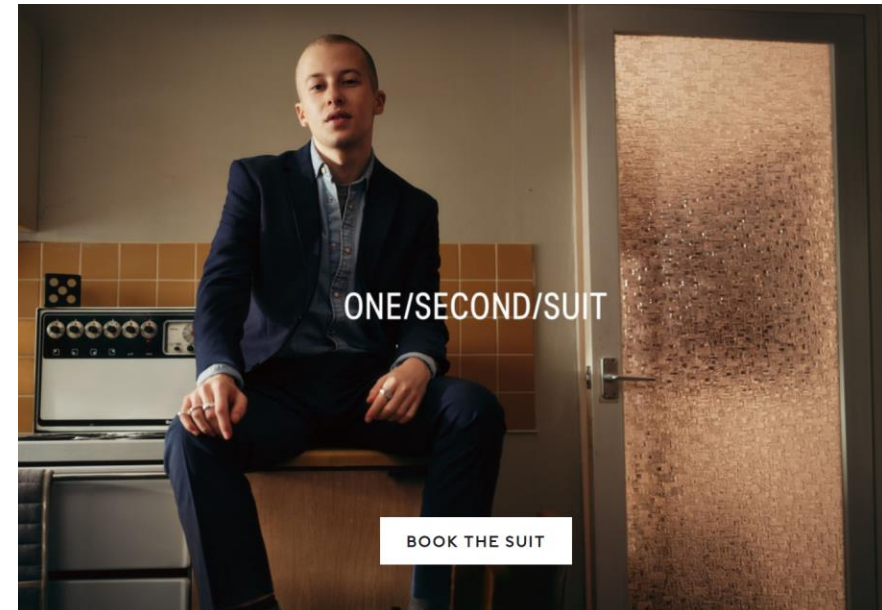
2018 Toyota Rav4

\$225
+tax for 5 days!



Offer live demos, vendor and
product comparisons, case
studies and testimonials, trial
and literature downloads in
the Decision Stage of
the Customer Journey.

intechnic.com



ONE/SECOND/SUIT

BOOK THE SUIT

First impressions open doors. Walk tall into your next job interview with
the ONE/SECOND/SUIT. 24 hours free suit hire from H&M.

4. Purchase Decision and Act

Consumer slims down their consideration set to a few candidates, moving towards a final decision when consumer makes their decision, selection, or purchase

Further decisions

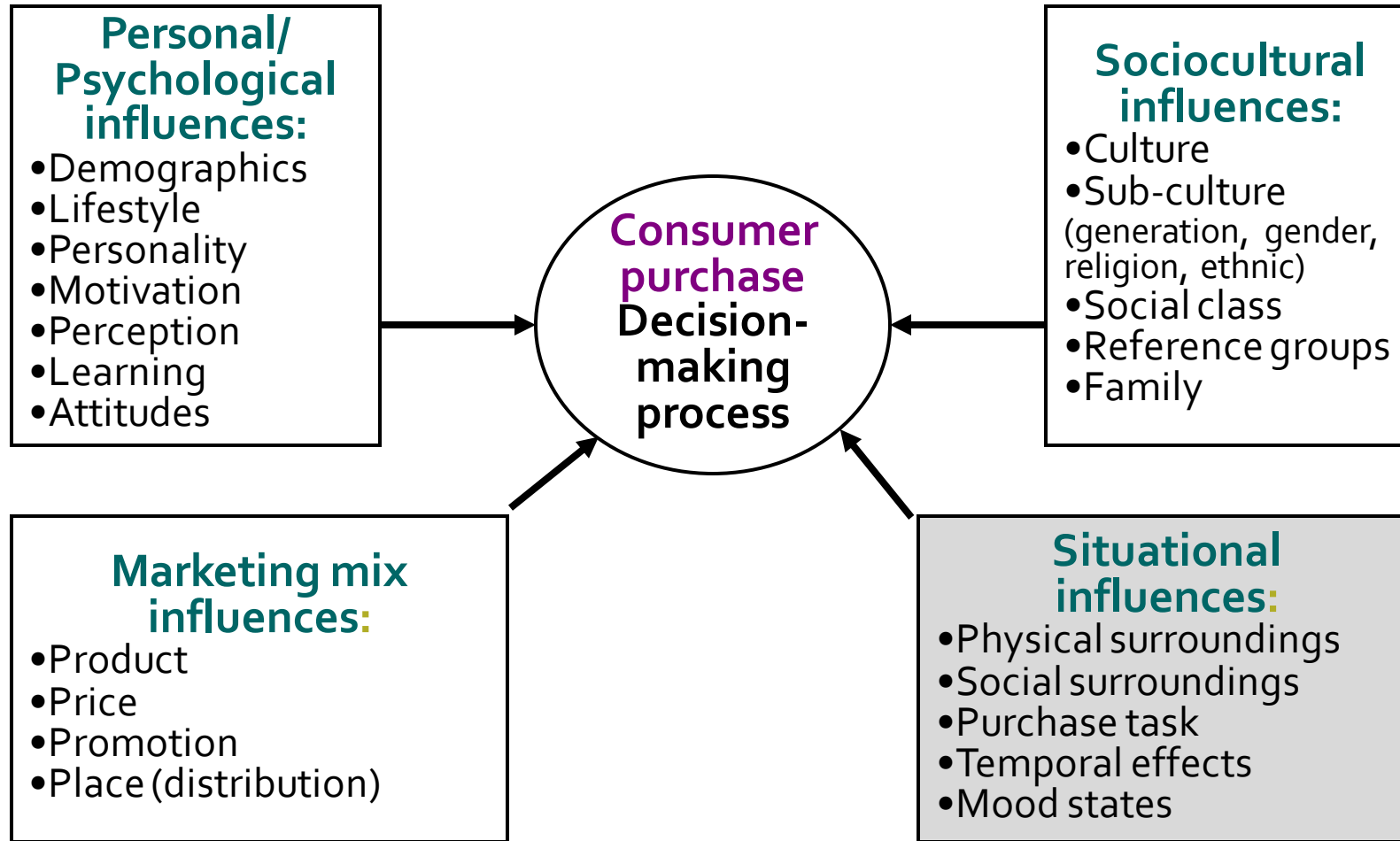
- Feature (color), accessories, warranty options
- When (timing)
- Where/from whom (online, offline, store)
- How many (quantity)
- How (payment, delivery method)

Purchase act

- Actual choice may be different from planned
 - Sales promotion, free samples
 - Opinions of others
 - Cash flow
 - Other situational factors

Up to 40% of consumers change their minds just before a purchase due to something they see or hear

Influences on Consumer Decision Making



Temporary conditions that affect how buyers behave

Situational Factors Affecting Purchase Behavior

Physical situation

- Atmospherics:
 - Ambience: Music, smell, decoration, lighting, temperature
 - Design: Aisle, ceiling, shelf, flooring, layout
- Weather

Social situation

- Crowded vs. herd behavior
- Salesperson's behavior

Time

- Time of day/year people prefer to buy a specific product
- Lack of time → online, mobile application

Reason for shopping

- Self vs. other
- Emergency, involvement

Mood

- Positive vs. Negative moods

Atmospherics – ambient

- Lighting
 - Bright light create excitement
- Music
 - Slow vs. fast tempo
 - Sound of a product
- Aroma
 - A scented store can influence purchase intention, quantities
- Temperature
 - 25c is the most suitable

Prestige-image ambient environment has soft, low-level lighting with classical music



The Smell and Taste Institute found in a study that 84% of respondents were more likely to buy a pair of Nike trainers in a scented room compared with a non scented room



Atmospherics - design

- **Functional elements**

- Aisle width
 - Affects confinement
 - Butt brush effect
- Shelving/product position
 - Eye-level position
- Ceiling height
 - Affects sense of freedom
- Flooring
 - Affect sense of comfort
- Layout
 - Easy to walk/browse/exit



- **Aesthetic elements**
- Decoration, furniture
 - Victorian/Louise style
- Color
 - Color-changing lighting
 - Gold, silver, black color
- Floor
 - Luxurious material
 - Carpet, marble
- Cleanliness

Atmospherics - social

- Salesperson
 - Number: too many/few salesperson
 - Appearance: attractive, well-dressed
 - Behavior: rude vs. nice, service minded
 - Favorable Characteristics
 - Knowledgeable, trustworthy, Polite, Friendly, Likeable/attractive
- Other customers
- Crowding (-)
 - Too crowded/too few
 - Herd behavior (+)
 - People lining up makes you want to know why



Mood Effect



CONFIDENT



HYSTERICAL



MISCHIEVOUS



DEPRESSED



SHOCKED



FRUSTRATED



SMUG



SURPRISED



BORED



HOPEFUL



PROUD



ANGRY



SHY



ASHAMED



HAPPY



CONFUSED



SUSPICIOUS



INDIFFERENT

Contextual Effect

Products become more or less attractive in the context of other superior or inferior products.

- 1) an electronic-only subscription (at Economist.com) for \$59/year
- 2) print and electronic subscriptions for \$125/year.

➤ 68% vs. 32%

- 3) a print-only subscriptions for \$125/year.

➤ 16% vs. 84%

MO & MOSHI

fruity parfait
ice cream and snacks
モ & モシ

ICE CREAM & SOFT SERVE



1. Single Sensation (ice cream scoop, cone/cup)
Sukita myoshi (sukita myoshi / ice / fruit) 69.-

2. Soft Serve (Vanilla/Strawberry/Chocolate)
sukita myoshi / strawberry / chocolate / banana 35.-

3. Topping (Colourful/Dark/Crisp)
Vanilla 30.-

4. Delicious Dozen
All fruit basket 295.-

5. Pink Fairy
All fruit 225.-

6. Matcha Magic
Matcha 225.-

7. Mo & Moshi Introduction
Matcha 295.-

8. Fruity Flourish
All fruit basket 105.-

9. Healthy Delight
Matcha 255.-

10. My Sorbet
All fruit basket 250.-

11. Oreo Thrill
Oreo 275.-

12. Strawberry Supreme
Strawberry 3,000.-

13. Delicious Decadence
All fruit basket 2,850.-

14. Parfait Celebration
All fruit basket 950.-

15. Serious Sorbet
All fruit basket 850.-

16. Chocolate Galore
Chocolate 255.-

17. Ice Cream Burger Green Tea
Tiramisu 125.-

18. Ice Cream Burger Beetroot
Tiramisu 125.-

19. Ice Cream Burger Sweet Potato
Tiramisu 125.-



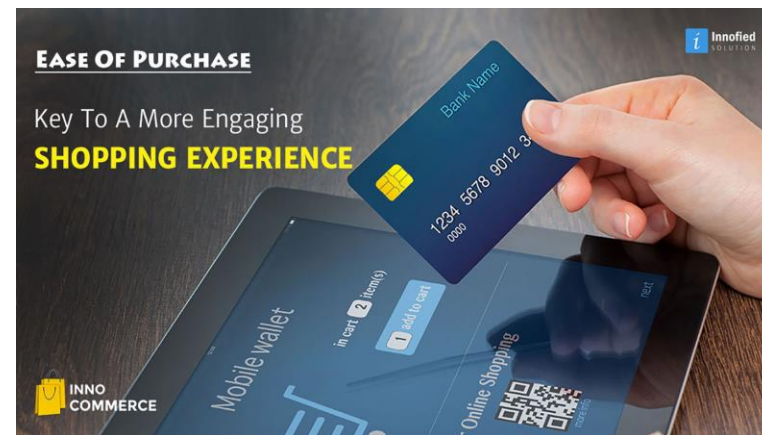
Situational Factors

A = Antecedent states
(momentary moods/condition)
B = Task definition (purpose or
reason for buying/consuming)
C = Physical surroundings
(physical, spatial aspects of
environment)
D = Temporal perspective
E = Social surroundings (the
presence of others)

1. You're in a big hurry, and just want a quick shopping experience
2. You're feeling a bit tired, just want to get home
3. You're just buying a couple of things (like bread/milk)
4. There's a convenience store just up the street
5. It's 3 in the morning and not many shops are open
6. You're not in a good mood don't want to bump into someone you know
7. You're out with the kids and don't want to take them on 'big' shopping trip
8. You're driving in a suburb you don't know and you can see a convenience store on the highway
9. You just want to grab something to eat in the car
10. You're buying some gas and your partner says he/she would like a drink

4. Marketing task

- Traditional marketing mixes such as pricing, packaging, placement, availability and sales assistance continue to play a key role. In-store/online demonstration using sensory marketing help accelerate their decision
- Today's empowered consumers expect the extensiveness of omnichannel offerings.
 - a variety of purchasing alternatives online via browser, mobile app and in-store
 - different fulfillment options (in-store pickup, home delivery and same-day shipping)



**PAY LATER
BUY NOW**

 Pay down payment
as low as **RM1,000***

 Settle balance
of differential sum
(if any)

 Settle deferred
payment up to **5 years**

 Apply for a loan
(Not less than 70% of purchase price)

 Move in
immediately



DOMINO'S

ANYWARE™

*Order your favorite
oven-baked goodness on your favorite devices.*



GOOGLE HOME



ALEXA



SLACK



MESSENGER



ZERO CLICK



TEXT



TWEET



CAR



SMART TV

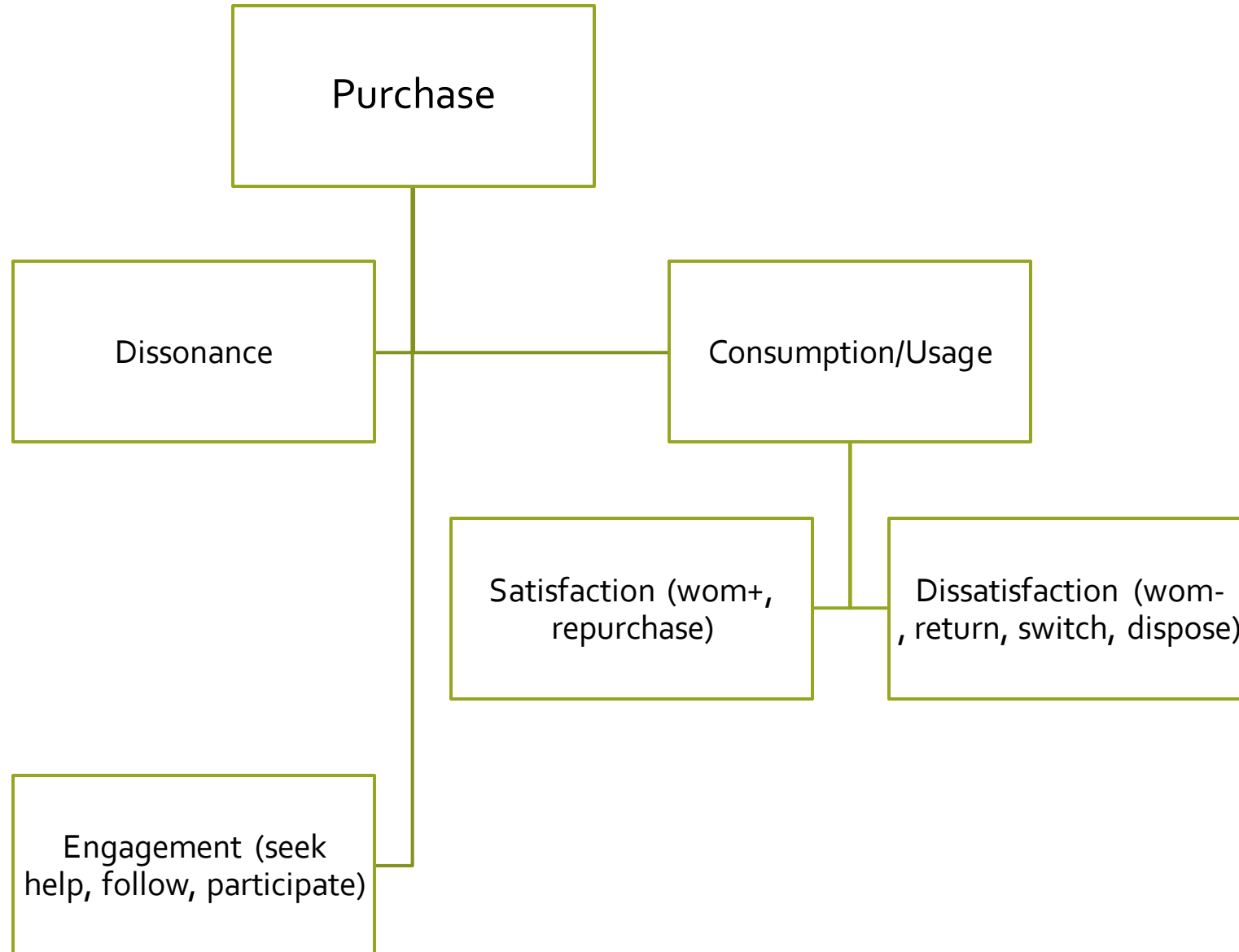


VOICE



SMART WATCH

5. Post-purchase experiences and behaviors



Post-purchase dissonance

- Buyer's remorse/doubt/anxiety over whether they make the right decision, select the best choice
 - Want to feel good about your purchase, but you don't.
 - Did I make a good decision, buy the right choice?
 - I should have waited for a better price?
 - I should have got more information?
- Dissonance is likely to increase
 - High involvement (high cost, impact)
 - No clear winner: the rejected alternatives have desirable features that the chosen alternatives do not provide

Marketing Task

- Provide info that supports the chosen item and help feel good
- Follow up purchases to offer personal service
- Offer a money back guarantee, return policy, warranty, a toll-free troubleshooting line
- Offer some compensation, freebies



7 DAY
MONEY BACK
GUARANTEE

Consumption

- Not fully/correctly use
- Wrong specification
- No time/effort
- Need adjustment



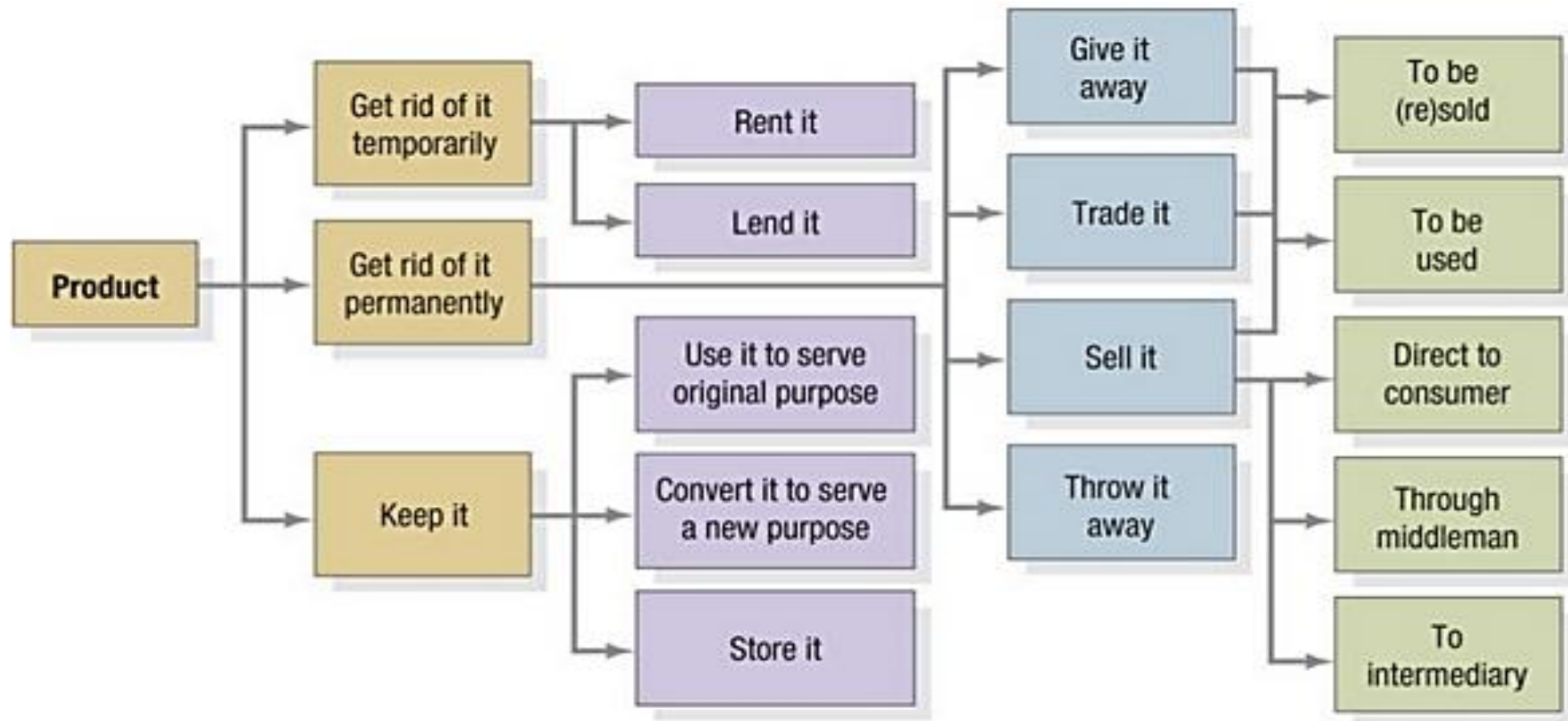
Marketing Task

- Provide clear instructions (text, video) how to install, use, adjust a product
- Follow up purchases to offer personal recommendation
- Have customer service (call, messenger, home visit) that can be reached out quickly
- Provide tips and share customer review how to use a product more correctly, easily, regularly

Post-purchase evaluation

- Evaluate (Performance vs. expectation)
 - Performance $\geq$ expectation $\rightarrow$ satisfied $\rightarrow$ +WOM, repeat
 - Performance $<$ expectation $\rightarrow$ dissatisfied $\rightarrow$ -WOM, switch
- "65% say great experiences are more influential than good advertising."
- "50% of people are likely to defect if their needs aren't anticipated."
- **Marketing Task**
- Manage post-purchase behaviors
 - Monitor/measure **satisfaction**
 - Customer experience survey, mystery shoppers, social media
 - Manage **performance**
 - Maintain quality, provide after-sale service
 - Keep in touch with the needs/wants of current and potential customers
 - Monitor post-purchase product uses and disposal
 - Manage **expectation**
 - Reduce expectation
 - Not overpromise

Disposal



- **Monitor the disposal of the product** which can affect the image of the brand if many people resell the products after short term use, signaling the problem

Coca-Cola: 2nd Lives

Campaign launches in Vietnam with special caps to transform plastic bottles into useful objects



- turn empty, worthless used plastic Coke bottles into fun, creative, practical objects e.g. spray bottles, pencil sharpeners, markers, shampoo containers
- increased brand awareness in emerging markets and the promotion of a sustainability-focused brand image with a whimsical twist.
- cleverly extends the brand's presence into areas of consumers' lives that it has not previously been able to go—the bathroom, the school classroom

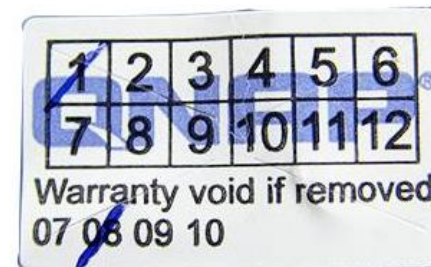


Repurchase

- Repeat purchase behavior
 - Satisfaction, brand preference
- “91% of people stated they won’t return to a brand due to a poor experience.”
- “Great customer experience leads to an 86% likelihood of repurchase.”
- Other reasons
 - Convenience, Low price, offer credit purchase
 - Unavailability of the preferred brands, Lack of better alternatives
 - Switching costs
 - Frequency program
 - Laziness



- **Marketing Task**
- Encourage consumers to consume and re-purchase products
 - Suggest alternative uses/benefits/ways to use the product
 - Remind customers the time first used, need to replace, expired
 - Provide the current level of performance. Learn when actual usage is lower than recommended and persuade them that regular usage has benefits



Post-purchase engagement

- Further consumer interaction include registering for warranty, following brand on and sharing purchase via social media.
- Consumers may engage or share their feelings, experiences, perspectives, reviews, and attitudes with others
- "77% of people recommend brands after a good experience."
- "95% of people vocalize their horrible experiences with others."
- "91% of customers with 'okay' experiences simply leave."

Marketing Task

- It is critical for the brand to ensure that troubleshooting issues and customer support options are easily accessible
- Create content strategies (e.g. product usage, game) to increase customer engagement (review, referral)
- Reward customers to provide constructive comments.
- Carefully manage negative word of mouth and complaints

Exercise

1. Recall your recent purchase of medium-priced products with a lot of alternatives
2. Choose the product and interview a buyer
3. Outline what you do in each of the decision making steps from trigger to repurchase consideration
4. Take a role as a brand manager, what would you do to influence consumers in each of the step

Bonding – Loyalty Loop

- The bond stage occurs when the “customer” becomes a “true fan” who personally invested in and interacted with a brand, advocate for and on behalf of a brand
- They will enter the “Loyalty Loop” wherein they bypass the consider and evaluate stages, don’t actively seek alternatives, and proceed directly to the repurchase stage

Marketing Task

- Beyond transactional; the brand, product, or service delivers a higher intrinsic value, helping people establish a connection
- “Emotional connections drive a 306% increase in customer lifetime value.”
- Utilize augmented intelligence to stay ahead of always-shifting consumer wants, needs and demands